payments were taxed and paid into blocked accounts, leaving many former owners bitterly angry.

Worse still, the corrosive effects of nationalisation soon became visible as the ‘1,000 little things’ for everyday needs produced by small enterprises began disappearing from shops, creating a so-called ‘grey market’. This entailed procuring, through contacts, consumer goods or materials which the GDR did not produce in sufficient quantities or which – as quite often happened – it produced for export. Items ranged from nails, pins and screws, to porcelain and pens. From here on, the public spent an incredible amount of time hunting for goods that appeared irregularly on the market and always in totally insufficient quantities.

Before too much time passed, Honecker reported to Brezhnev that 11,000 new state-owned enterprises had emerged, keeping more than half-a-million people in gainful employment.17

Dear Comrade Leonid Ilyich,

We are pleased to discover time and again that, in spite of your many duties as General Secretary of the Central Committee of the CPSU, you have always taken a great interest in the development of Socialism in the German Democratic Republic. It is a pleasure for me to inform you on behalf of the Politburo of the Central Committee of our Party that the measures for the transformation of joint enterprises and craftsmen’s production cooperatives into people’s own enterprises have recently been carried out with success. Yours fraternally, E. Honecker.

18